

Palantir Technologies Inc.

PLTR NYSE

Hold	\$158.43 ▼ 2.60%	12M Price Target \$165.00	52-Week Range \$106.37 – \$207.52	Market Cap \$380.72B
------	------------------	------------------------------	--------------------------------------	-------------------------

PLTR: Blowout Earnings Priced In, Now What?

WHAT HAPPENED

- Stock ripped 29% on Aug 4 (from \$125 to \$162) — that's the earnings blowout reaction. Revenue and guidance clearly crushed it, and the AI-monetization narrative is validated. But today we're giving back 2.6%, which tells you the easy money already made the trade and now people are asking "okay, what's left?"
- Cathie Wood's ARK actually SOLD PLTR into the strength while buying NVDA — that's a notable "smart money took profits" signal from one of the biggest AI bulls on the Street. When your loudest cheerleader trims, pay attention.

WHY IT MATTERS

Here's the read: PLTR just proved the AI thesis works commercially — Karp's "11-word bombshell" and the S&P's weekly gain on "AI monetization optimism" tell you the whole market is now believing enterprise AI actually generates revenue, not just hype. That's great for the business but dangerous for the stock, because it's now trading at roughly 80x revenue — meaning investors pay \$80 for every \$1 of sales, versus maybe \$15-20 for typical software. The Michael Burry "ghost towns" warning and Eisman's pushback frame the real debate: is this the top of an AI bubble, or the early innings? For PLTR specifically, the political backdrop is a genuine tailwind (more on that below), but at this valuation the stock needs everything to go right — any hiccup gets punished hard.

POLICY & POLITICAL WATCH

The Trump administration's AI Action Plan and the ongoing federal push to consolidate agency data systems onto AI platforms is directly PLTR's sweet spot — they're the incumbent on defense (Maven, TITAN, Army NGC2) and expanding into ICE, HHS, and IRS modernization contracts. Watch the FY2027 defense authorization debate this fall: if AI/software line items expand as expected, PLTR's government pipeline (already ~55% of revenue) gets a multi-year runway. The risk on the policy side is any Democratic pushback on Palantir's ICE/immigration enforcement work — there's been civil liberties noise that could become a headline risk, but with current Congress alignment it's more bark than bite for now.

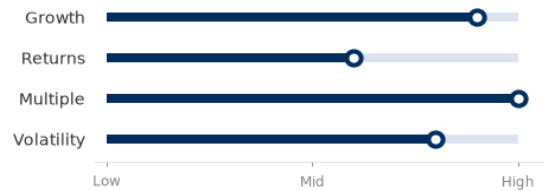
IS IT EXPENSIVE?

This is the elephant in the room: at ~80x forward revenue and ~250x forward earnings, you're paying about \$250 for every \$1 of profit — for context, Nvidia trades around 35x and Microsoft around 32x. The bull case is that PLTR's growth is accelerating (not decelerating like most software), and government contracts are sticky 5-10 year revenue streams. But even generously, this stock is priced for absolute perfection — any quarter where growth slips from 45% to 35% could cost you 30% of the price fast.

Key Data

Price (USD)	\$158.43
12M Price Target	\$165.00
Upside / (Downside)	+4.1%
Market Cap	\$380.72B
FY2026E Revenue	\$4,600M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	255.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$180.00	\$160.00	\$140.00
6 Months	\$210.00	\$165.00	\$125.00
1 Year	\$240.00	\$175.00	\$110.00
2 Years	\$300.00	\$200.00	\$90.00
5 Years	\$450.00	\$275.00	\$70.00
10 Years	\$700.00	\$400.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.27%) and Materials (+1.23%) are today's leaders — Healthcare on continued biotech M&A chatter, Materials on infrastructure spending flows. Consumer Discretionary is the 5-day winner (+6.3%) as consumer resilience keeps surprising.

COOLING OFF: Real Estate is soft (-1.65% over 5D) as rate cut expectations get pushed out again. Industrials cooled today but had a strong week.

ROTATION WATCH: The tape today is defensive rotation — Healthcare and Materials up while high-multiple AI names like PLTR give back gains. That's not a full risk-off move, but it's the kind of "profit-take the winners, buy the laggards" action that happens when a big AI print (like PLTR's earnings) marks a short-term sentiment peak.

RELATED PLAY: If you want AI exposure but hate PLTR's valuation, look at the "picks and shovels" — companies like SNOW (data infrastructure) or the hyperscalers (MSFT, GOOGL) offer AI monetization at a fraction of PLTR's multiple.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI benchmark — ARK bought the dip today, signaling institutional confidence that AI capex isn't rolling over
- CAT (Caterpillar): Defying Burry's short call as infrastructure and data center buildout drives industrial demand — a stealth AI beneficiary

PLTR CONTEXT: PLTR is LEADING its software peer group by miles YTD, but that also means it's the most crowded and the most exposed to a rotation. When the market decides to take profits in AI winners, PLTR is where hedge funds trim first because the gains are biggest. Being the leader cuts both ways.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$130-140 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Government revenue growth decelerates below 30% YoY or major DoD contract loss

Hedging: Buy protective puts or pair with short position in high-multiple AI peer